BGIN Block #9 Meeting Report

- Rebuilding Value, Governance and Reputation on Blockchain -

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The Global Network for Blockchain Stakeholders™

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3.14. IKPWG Interactive Workshop Session 2: Accountable Wallet

Date: Nov 21, 2023
Time: 13:45 - 15:15
Session Chair: Masato Yamanaka (SMTB and Georgetown University)

1. Paper Summary

   This paper focuses on the process of allowing legitimate users to avoid transacting with criminals with the use of an "Accountable Wallet", a wallet with credentials that cryptographically ensure the holder's privacy and prove that the holder meets the compliance requirements of the counterparty before any transaction. This paper addresses the challenges in implementing the process, related to the economic incentives of each player in the process and the reliability of credentials and their evaluation.

   Regarding what information credentials associated with a wallet should include, this paper suggests that a holder should prove the legitimacy of themselves, that of the wallet which they hold, and that of the cryptos which they transfer to their counterparty. This paper describes how and who issues those proofs.

   Based on the premise that the centralization of credential issuance is problematic, this paper suggests Decentralized Sanctions Screening Protocols, which enable the integration of multiple sanction lists in a decentralized manner.

   Link to the paper summary:

2. Discussion points

   - Even if the transaction itself between individuals is not illegal, the recipient may damage their legitimacy if the originator has been involved in any illegal activity in the past. Among participants, there was confusion about the current status of what is considered illegitimate activity, who is responsible, and how illegitimate activity is investigated and subsequently handled.

   - The suggestion of this paper for dealing with the discovery of an originator's past involvement in illegitimate activity after a transaction is for the recipient to evaluate the credentials of the originator before the transaction. Some participants, on the other hand, brought up the cancellation of the transaction as a solution, which seems not possible on the blockchain so far.

   - There was an opinion that, while centralized exchanges prevent legitimate users from engaging in illegitimate activity by doing KYC and, if necessary, using

investigation tools, it may be too much of a burden on individuals to expect them to take such measures in DeFi. The newest approach to reduce the burden of individuals can be the decentralized issuance of credentials, as suggested by this paper. However, there is also a point that decentralization is an unnatural state that requires ongoing effort and due diligence to keep it up.

- What this process protects legitimate users from is the receipt of cryptos from senders who have been involved in illegitimate activities in the past, and it does not intend to prevent legitimate users from passing funds to illegitimate users or allowing funds they pass to be used for illegitimate activities after the transaction. There was confusion about this point in the discussion.

3. Next Steps

- There should be a common understanding of the current status of what is illegal, who is responsible, and how such illegal activities are investigated and dealt with subsequently.
- A method should be developed to objectively and clearly communicate the intent of this paper to the various stakeholders.
- Further research could be conducted on operational and technical specifications to maintain the sustainability of decentralization of credential issuance, in addition to on whether credential issuance should occur for each transaction or at regular intervals.